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SOCIAL



**Zuckerberg: AI increased
the time spent on
Facebook and Instagram
in Q2**

Meta CEO Mark Zuckerberg credited AI with driving up the time users spent on the company's apps in the second quarter. While consumers are increasingly complaining about the prevalence of "AI slop" — or low-quality AI-generated content flooding social apps — Meta says that AI systems are getting better at helping users connect with recommended content.

"AI is significantly improving our ability to show people content that they're going to find interesting and useful," Zuckerberg told investors on the [Q2](#) earnings call. "Advancements in our recommendation systems have improved quality so much that it has led to a 5% increase in time spent on Facebook and 6% on Instagram just this quarter."

Overall, Meta estimated that over 3.4 billion people used one of its "family of apps" — meaning Facebook, Instagram, Messenger, and/or WhatsApp — on a daily basis in June. That figure is up 6% year-over-year and helped drive the total family of apps revenue to \$47.1 billion, up 22% year-over-year.

The company additionally shared that video time spent increased 20% year-over-year in the quarter, also due to optimizations of Meta's ranking systems and its work to promote more original content on Instagram.

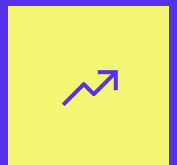
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Meta’s X competitor, Threads, was also seeing time spent gains due to the “incorporation of LLMs,” Meta noted.

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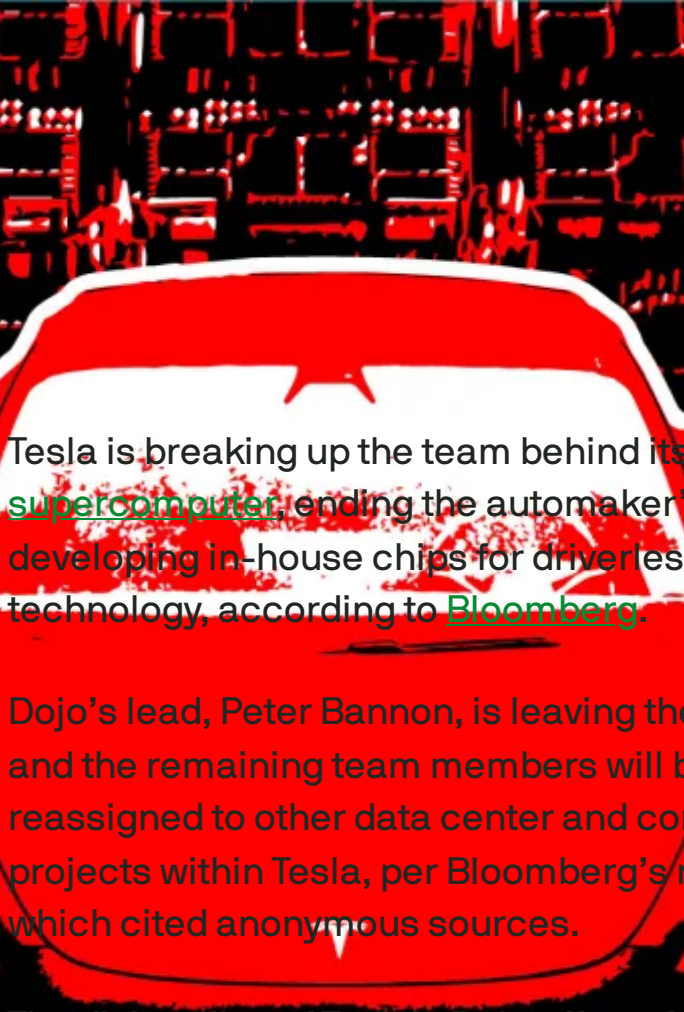
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TRANSPORTATION



Tesla shuts down Dojo,
the AI training
supercomputer that
Musk said would be key
to full self-driving



Tesla is breaking up the team behind its [Dojo supercomputer](#), ending the automaker's play at developing in-house chips for driverless technology, according to [Bloomberg](#).

Dojo's lead, Peter Bannon, is leaving the company, and the remaining team members will be reassigned to other data center and compute projects within Tesla, per Bloomberg's reporting, which cited anonymous sources.

The disbanding of Tesla's Dojo efforts follows the departure of around 20 workers, who left the automaker to start their own [AI company called DensityAI](#). The new startup is reportedly coming out of stealth soon and is building chips, hardware, and software that will power data centers for AI that are used in robotics, by AI agents, and in automotive applications. DensityAI was founded by former Dojo head [Ganesh Venkataramanan](#) and ex-Tesla employees Bill Chang and Ben Floering.

It also comes at a crucial time for Tesla.

[CEO Elon Musk has pushed](#) to get shareholders to view Tesla as an AI and robotics company, despite a limited robotaxi launch in Austin this past June that featured Model Y vehicles with a human in the front passenger seat and resulted in a number of reported incidents of the vehicles exhibiting problematic driving behavior.

Tesla's decision to shut down Dojo, which Musk has been talking about since 2019, is a major shift in

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strategy. Musk has said that Dojo would be the cornerstone of Tesla’s AI ambitions and its goal to reach full self-driving due to its ability to “process truly vast amounts of video data.” He talked about Dojo, albeit briefly, as recently as the company’s second-quarter earnings call.

In 2023, Morgan Stanley predicted Dojo could add \$500 billion to the company’s market value by unlocking new revenue streams in the form of robotaxis and software services. Just last year, Musk noted that Tesla’s AI team would “[double down](#)” on Dojo in the lead-up to [Tesla’s robotaxi reveal](#), which happened in October.

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But talk about Dojo halted around August 2024, when Musk began touting Cortex instead, Tesla’s “giant new AI training supercluster being built at Tesla HQ in Austin to solve real-world AI.”

The Dojo project was one part supercomputer, one part in-house chip-making. Tesla unveiled its D1 chip when it formally announced Dojo at its first AI

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Day in 2021. [Venkataramanan](#) presented the chip, which Tesla said would be used alongside Nvidia's GPU to power the Dojo supercomputer. The automaker also said it was working on a next-gen D2 chip that would solve any information flow bottlenecks of its predecessor.

Sources told Bloomberg that now Tesla plans to increase its reliance on Nvidia, as well as other external tech partners like AMD for compute and Samsung for chip manufacturing. Tesla last month signed a [\\$16.5 billion deal with Samsung](#) to make its AI6 inference chips, a chip design that promises to scale from powering FSD and Tesla's Optimus humanoid robots all the way to high-performance AI training in data centers.

During Tesla's second-quarter earnings call, Musk hinted at potential redundancies.

"Thinking about Dojo 3 and the AI6 inference chip, it seems like intuitively, we want to try to find convergence there, where it's basically the same chip," Musk said.

The news comes as [Tesla's board offers Musk a \\$29 billion pay package](#) to keep him at Tesla and help push the company's AI efforts forward, rather than getting too sidetracked by his other companies, including the more pure-play AI startup xAI.

TechCrunch has reached out to Tesla for more information.

Have a sensitive tip or confidential documents? We're reporting on the inner workings of the AI industry — from the companies shaping its future to the people impacted by their decisions. Reach out to Rebecca Bellan at rebecca.bellan@techcrunch.com and Maxwell Zeff at maxwell.zeff@techcrunch.com. For secure

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Rebecca Bellan is a senior reporter at TechCrunch where she covers the business, policy, and emerging trends...

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SPACE





Rocket Lab eyes big defense opportunities with new acquisition

Aria Alamalhodaei — 2:23 PM PDT · August 7, 2025

Rocket Lab is signaling to investors, yet again, that it's more than “just” a rocket company.

Rocket Lab's second-quarter results, which were posted Thursday, show revenues continue to be driven by its space systems business rather than launch. The results also highlighted the company's acquisition strategy and how its purchase of a new optical payloads company will make it more competitive for lucrative government contracts.

IMAGE CREDITS: [ROCKET LAB](#)

The company's space systems brought in \$97.9 million of the \$144.5 million in total revenues for the second quarter. Rocket Labs' total revenue, its highest quarterly revenue in the company's history, jumped 36% from a year ago. The company's net loss widened to \$66.4 million.

Rocket Lab founder and CEO Peter Beck highlighted the “busy quarter of M&A activity” as the company gets close to closing its deal to buy [Geost](#), a company that builds optical payloads. Through that acquisition, which will close at \$275 million in cash and equity, Rocket Lab is opening a new business

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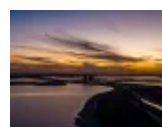


Rocket Lab eyes big defense opportunities with new acquisition

Aria Alamalhodaei

- 7 hours ago

SPACE



SpaceX is building a water pipeline to Starbase — but access comes with some conditions

unit called Optical Systems to scale electro-optical and infrared sensor manufacturing.

Those sensors are used in missile warning, tracking, and space domain awareness. The acquisition is also one part of a larger play from Rocket Lab — spelled out quite explicitly in the company’s earnings presentation — to bid for multibillion-dollar [DOD initiatives like Golden Dome](#).

Rocket Lab has already won some major defense contracts, including a \$515 million, 18-satellite build contract to support the Space Development Agency’s constellation of missile-tracking satellites. The company has moved into production on those satellites, following confirmation that they meet the DOD’s mission requirements, Rocket Lab said.

Down on Earth, Rocket Lab says it’s progressing well toward the first launch of its larger Neutron rocket. The rocket’s launch complex in Virginia is expected to be complete in the third quarter of this year, with [hardware en route](#) and the new rocket engine, called Archimedes, undergoing multiple tests per day.

Aria Alamalhodaie
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Hubble Network plans massive satellite upgrade to create global Bluetooth layer

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The company is staying vague about the exact launch date, saying only in the presentation that it is pushing an “all-out effort to get Neutron to the launch pad before the end of 2025.”

Rocket Lab ended the quarter with \$564 million in cash and cash equivalents and estimates revenues will hit between \$145 to \$155 million next quarter.

Topics: [earnings](#) [Mergers and Acquisitions](#)

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Aria Alamalhodaie

Reporter, Space and Defense |

Aria Alamalhodaie covers the space and defense industries at TechCrunch. Previously, she covered the...

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STARTUPS



High costs and thin margins threatening AI coding startups

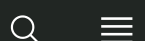
Marina Temkin — 2:05 PM PDT · August 7, 2025

In February, AI coding startup Windsurf was in talks to raise a big new round at a [\\$2.85 billion valuation led by Kleiner Perkins](#), at double the valuation it hit six months earlier, sources told TechCrunch at the

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can have such expensive structures that their gross margins are “very negative,” one person close to Windsurf told TechCrunch. Meaning it cost more to run the product than the startup could charge for it.

This is due to the high costs of using large language models (LLMs), the person explained. AI coding assistants are particularly pressured to always offer the most recent, most advanced, and most expensive LLMs because model makers are particularly fine-tuning their latest models for improvements in coding and related tasks like debugging.

This is a challenge compounded by fierce competition in the vibe-coding and code-assist market. Rivals include companies that already have huge customer bases like Anysphere’s Cursor and GitHub Copilot.

The most straightforward path to improving margins in this business involves the startups building their own models, thereby eliminating costs of paying suppliers like Anthropic and OpenAI.

“It’s a very expensive business to run if you’re not going to be in the model game,” said the person.

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But that idea comes with its own risks. Windsurf's co-founder and CEO, Varun Mohan, ultimately decided against the company building its own model — an expensive undertaking, the person said.

In addition, model makers are already competing directly. Anthropic offers Claude Code and OpenAI offers Codex, for instance.

Selling the business was a strategic move to lock in a high return before it could be undermined by the very companies that supplied its AI, including OpenAI and Anthropic, which were also entering the AI coding market.

Multiple people believe that the same pressure on margins Windsurf faced could be impacting Anysphere, the maker of Cursor, as well as vibe coders like Lovable, Replit, and others.

"Margins on all of the 'code gen' products are either neutral or negative. They're absolutely abysmal," said Nicholas Charriere, founder of Mocha, a vibe-coding startup and back-end hosting solution serving small and medium businesses (SMBs). He added that he believes the variable costs for all the startups in the sector are very close, likely within 10% to 15% of one another.

Unlike Windsurf, Anysphere has been growing so fast that it intends to remain an independent

company, having already [turned down acquisition offers](#), including, reports say, from OpenAI.

And Anysphere [announced in January](#) that it is attempting to build its own model, which could give it more control over its expenses. In July, the startup [hired two leaders from Anthropic's Claude Code](#) team, the Information reported, but two weeks later, these employees [returned](#) to work at Anthropic.

In addition to building a model, Anysphere could expect the cost of LLMs to decrease over time.

“That’s what everyone’s banking on,” said Erik Nordlander, a general partner at Google Ventures. “The inference cost today, that’s the most expensive it’s ever going to be.”

It’s not entirely clear how true that is. Rather than falling as expected, the [cost of some of the latest AI models has risen](#), as they use more time and computational resources to handle complicated, multistep tasks.

When that will change remains to be seen. On Thursday, for instance, [OpenAI introduced](#) a new flagship model, GPT-5, with fees that are significantly less than its competitor, Anthropic’s Claude Opus 4.1. And Anysphere [immediately offered](#) this model as a choice for Cursor users.

Anysphere has also recently changed its pricing structure to pass along the increased costs of running Anthropic’s latest Claude model, particularly to its most active users. The move caught some of [Cursor customers by surprise](#), since they didn’t expect additional charges on top of its \$20-per-month Pro plan. Anysphere CEO Michael Truell later apologized for unclear communication about the pricing change in a [blog post](#).

This is the rock and the hard place. Although Cursor is one of the most popular AI applications, having reached [\\$500 million in ARR in June](#), the company's user base may not be so loyal to the product if another company develops a tool that is superior to Cursor, investors say.

AnySphere didn't respond to a request for comment.

Given the competitive landscape and the costs, Windsurf's decision to get out may prove to be understandable. After the OpenAI deal fell through, the founders and key employees left to join Google in a deal that led to a [\\$2.4 billion payout](#) to key shareholders. The remaining business then [sold itself to Cognition](#).

While many, including prominent VCs, criticized Mohan for leaving approximately 200 employees without roles at Google, a source familiar with the deal insisted the acquisition actually maximized the outcomes for all employees.

Beyond Cursor, other AI coding tools are also among the fastest growing startups of the LLM generation, like Replit, Lovable, and Bolt, and all of them rely on model makers as well.

Additionally, if this extremely popular business sector, already generating hundreds of millions in revenue or more a year, has difficulty building on top of model makers, what might it mean for other, more nascent industries?

Topics: [AI](#) [coding assistants](#) [cursor](#) [Startups](#)

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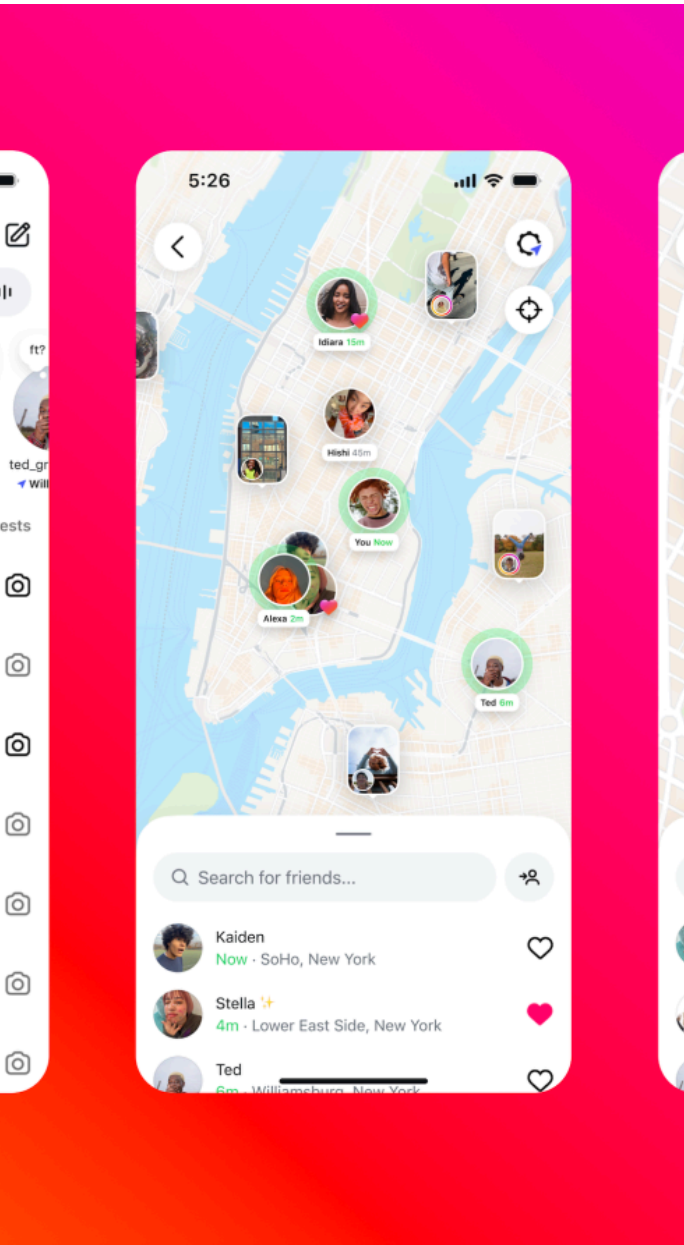
Marina Temkin

Reporter, Venture | [X](#)

Marina Temkin is a venture capital and startups reporter at TechCrunch. Prior to joining TechCrunch, she wrote abo...

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How to use Instagram Map and set your location-sharing preferences

Aisha Malik — 1:05 PM PDT · August 7, 2025

IMAGE CREDITS: INSTAGRAM

This week, Instagram introduced a new Snap Map-like feature called [Instagram Map](#) that lets U.S. users share their most recent active location with others and discover location-based content.

If you decide to turn on your location on Instagram Map, your location only updates when you open the app or have it running in the background, meaning it doesn't provide continuous, real-time location updates. This is different from Snap Map, which lets users choose whether their location is updated only when they open the app or in real time.

Meta says location sharing is off by default on Instagram Map. Following [concerns](#) around safety, [Instagram head Adam Mosseri](#) reassured users that the feature is opt-in, and noted that some people are "confused" about how the feature works.

For instance, people are accessing the feature and then seeing the map populated with the location information of some users. This is because the feature automatically pulls in location tags from recently posted Stories or Reels that include a tagged location.

It's worth noting that this isn't new, as Instagram already had location tags visible to users in its map view. However, the new Instagram Map feature makes this information a lot easier to access. The new feature might make you rethink whether you want to post your Stories and Reels with location tags (especially if you're still at the location).

For those who want to ensure their location is turned off on Instagram Map, we'll walk you through the steps below.

How to access Instagram Map

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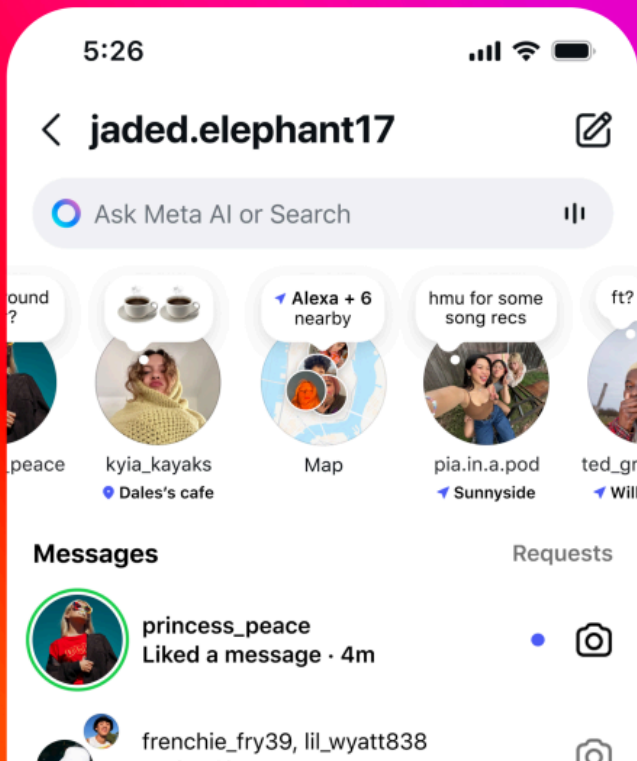


IMAGE CREDITS: INSTAGRAM

To access the new feature, you need to navigate to your DMs page (direct messages) and tap the new “Map” option at the top. If it’s your first time accessing the feature, you’ll likely see a pop-up message notifying you about the new Map.

The pop-up will tell you that no one can see your location until you share it with them, and that you can change your settings at any time.

How to set your location-sharing preferences

 You are not sharing your location.

Who can see your location

If you share, your precise location updates every time you open Instagram. It disappears if you don't open the app for 24 hours. [Learn more](#)

-  **Friends**
Followers you follow back ☐
-  **Close Friends**
Choose people > ☐
-  **Only these friends**
Choose people > ☐
-  **No one**
Don't share location ☒

Done

IMAGE CREDITS: INSTAGRAM

The first time you open Map, you will see a page that reads “Who can see your location.” From there, you can choose to share it with your Friends (followers you follow back), your Close Friends list, select users, or no one.

To change your preferences, you need to click on your profile, tap the settings option in the top-right corner, select the “Story, live and location” option, and then tap the “Location sharing” button. Here, you will be able to change your settings.

Note that if you have location sharing turned off, others can still share their location with you, which

means you'll be able to see them on the Map.

How to use Instagram Map

When you open the app, you will see the locations of friends who have shared their location with you. You will also see location-based Stories and Reels from people you follow.

For example, if your friend attended a nearby music festival and posted a story while there, it will appear on the map. Similarly, if a creator you follow posts a reel about a new restaurant in your city, you'll be able to discover it on Instagram Map.

You will still see location-based content on the Map even if you have your location turned off.

You also can leave short, ephemeral messages, or "Notes," on the map for others to see. Instagram Notes are the short messages that currently appear at the top of your direct messaging feed, but with the launch of Instagram Map, you will now see these posts on the map if they're shared with a location.

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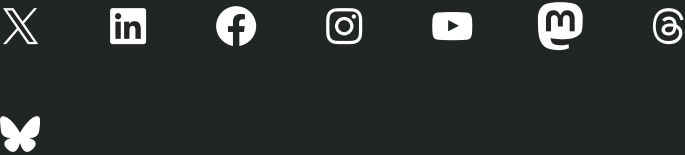
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